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March 15, 2025

Office of Science and Technology Policy
2415 Eisenhower Ave.
Alexandria, VA 22314

Re: Request for Information on the Development of an Artificial Intelligence (AI) Action Plan, Federal Register Number 2025-02305
Submitted Electronically

Comments of the R Street Institute in Request for Information on the Development of an Artificial Intelligence (AI) Action Plan

I. Overview of Comments

Thank you for the opportunity to respond to the Request for Information (RFI) on the Development of an Artificial Intelligence (AI) Action Plan. The R Street Institute (RSI) is a nonprofit, nonpartisan public policy research organization. Our mission is to engage in policy research and outreach to promote free markets and limited, effective government in many areas, including emerging technology. This is why RSI has a strong interest in the way our nation establishes a policy framework for AI and advanced computation in the race toward global leadership in the “most important general-purpose technology of our era.”¹

AI is part of a constellation of interrelated and codependent technologies and sectors with profound economic and geopolitical significance. This makes AI policy even more important because a positive, growth-oriented innovation culture encourages greater investment and entrepreneurialism across multiple high-tech sectors. Potential exists for AI to drive explosive

¹ Erik Brynjolfsson and Andrew McAfee, “The Business of Artificial Intelligence,” *Harvard Business Review*, July 18, 2017. <https://hbr.org/2017/07/the-business-of-artificial-intelligence>.

economic growth, significant productivity enhancements, and massive improvements in human health and well-being.²

A vibrant technology base is also crucial to put the United States on stronger footing in both global competitiveness and security.³ A pro-innovation policy framework takes on added significance with China racing faster to compete with the United States in this vitally important sector.⁴ The United States must continue to lead the world in AI to protect innovation and to ensure that other values our nation cherishes—pluralism, liberty, democracy, free speech, privacy, and civil rights—continue to thrive globally.⁵

To achieve these objectives, America must adopt an “AI opportunity agenda” that utilizes governance approaches to harness its potential while addressing concerns in a flexible fashion.⁶ In this comment, we offer several high-level principles and specific policy steps to help our nation strike that balance. Members of RSI’s Cybersecurity and Emerging Threats team have filed supplemental comments on privacy and cybersecurity-related issues pertaining to AI.⁷

II. Broad-Based Steps to Advance an AI Opportunity Agenda

A. Articulate a positive, forward-looking policy vision that embraces AI as an opportunity for America

We commend the Trump administration for issuing this RFI and for its ongoing efforts in AI policy. Recent statements and actions have helped realign America’s AI policy vision with the governance approach that helped the United States become the global leader in digital commerce, computing, and the internet over the past half-century. This happened because U.S. policymakers crafted effective pro-growth and pro-speech policies for the digital sphere 30 years ago.⁸

² Tom Davidson, “Could Advanced AI Drive Explosive Economic Growth?” Open Philanthropy, June 25, 2021. <https://www.openphilanthropy.org/research/could-advanced-ai-drive-explosive-economic-growth>.

³ Adam Thierer, “Ramifications of China’s DeepSeek Moment, Part 1: AI, Technological Supremacy and National Security,” R Street Institute, Feb. 3, 2025. <https://www.rstreet.org/commentary/ramifications-of-chinas-deepseek-moment-part-1-ai-technological-supremacy-national-security>.

⁴ Haiman Wong, “US May Be Losing the Race for Global AI Leadership,” *Dark Reading*, Sept. 25, 2024. <https://www.rstreet.org/commentary/us-may-be-losing-the-race-for-global-ai-leadership>.

⁵ Adam Thierer, “Ramifications of China’s DeepSeek Moment, Part 2: AI, Cultural Values, and Global Freedom,” R Street Institute, Feb. 7, 2025. <https://www.rstreet.org/commentary/ramifications-of-chinas-deepseek-moment-part-2-ai-cultural-values-and-global-freedom>.

⁶ Testimony of Adam Thierer, Joint Economic Committee, “Hearing on Artificial Intelligence and Its Potential to Fuel Economic Growth and Improve Governance,” 118th Congress, June 2024. <https://www.rstreet.org/outreach/adam-thierer-testimony-hearing-on-artificial-intelligence-and-its-potential-to-fuel-economic-growth-and-improve-governance>.

⁷ Haiman Wong and Brandon Pugh, “Comments of the R Street Institute’s Cybersecurity and Emerging Threats Team on the Development of an Artificial Intelligence (AI) Action Plan,” R Street Institute, March 15, 2025. <https://www.rstreet.org/outreach/comments-of-the-r-street-institutes-cybersecurity-and-emerging-threats-team-in-request-for-information-on-the-development-of-an-artificial-intelligence-ai-action-plan>.

⁸ Adam Thierer, “The Policy Origins of the Digital Revolution & the Continuing Case for the Freedom to Innovate,” R Street Institute, Aug. 15, 2024. <https://www.rstreet.org/commentary/the-policy-origins-of-the-digital-revolution-the-continuing-case-for-the-freedom-to-innovate>.

Throughout the 1990s, U.S. policymakers took steps to ensure that modern informational and communications technologies (ICTs) would not be hampered by the same regulatory regime that constrained innovation, competition, and consumer choice in previous ICT sectors. This was accomplished using flexible, market-oriented governance principles for the digital economy.⁹

This policy framework created a positive innovation culture in which online speech and commerce could blossom. According to the Bureau of Economic Analysis, in 2022 alone, the digital economy contributed over \$4 trillion of gross output for the nation, \$2.6 trillion of value added (translating to 10 percent of U.S. GDP), \$1.3 trillion of compensation, and 8.9 million jobs.¹⁰ American technology firms became global leaders in almost every segment of the digital commerce and computing marketplace. Importantly, this put America on stronger geopolitical footing in both global competitiveness and national security.¹¹ The United States must replicate this winning policy formula through an AI opportunity agenda.

B. Build upon a proven policy framework

The Trump administration's recent AI policy statements and actions build on America's successful digital technology policy framework by endorsing a pro-freedom and opportunity-oriented vision for the next great technological revolution that will help unleash competition and investment while enhancing national strength.

The AI executive order (EO) President Donald J. Trump signed on Jan. 23 rightly aims to "solidify our position as the global leader in AI ... to sustain and enhance America's global AI dominance in order to promote human flourishing, economic competitiveness, and national security."¹² Likewise, in his remarks at the Paris AI Action Summit last month, Vice President JD Vance made AI opportunity the centerpiece of his talk:

[O]ur administration ... believes that AI will have countless revolutionary applications in economic innovation, job creation, national security, healthcare, free expression, and beyond. And to restrict its development now would not only unfairly benefit incumbents in the space, it would mean paralyzing one of the most promising technologies we have seen in generations.¹³

⁹ "The Framework for Global Electronic Commerce," The White House, last accessed March 12, 2025. <https://clintonwhitehouse4.archives.gov/WH/New/Commerce>.

¹⁰ U.S. Bureau of Economic Analysis, "U.S. Digital Economy: New and Revised Estimates, 2017–2022," *Survey of Current Business*, Dec. 6, 2023. <https://apps.bea.gov/scb/issues/2023/12-december/1223-digital-economy.htm>.

¹¹ Thierer. <https://www.rstreet.org/commentary/ramifications-of-chinas-deepseek-moment-part-1-ai-technological-supremacy-national-security>.

¹² "Executive Order on Removing Barriers to American Leadership in Artificial Intelligence," The White House, Jan. 23, 2025. <https://www.whitehouse.gov/presidential-actions/2025/01/removing-barriers-to-american-leadership-in-artificial-intelligence>.

¹³ JD Vance, "Remarks by the Vice President at the Artificial Intelligence Action Summit in Paris, France," The American Presidency Project, Feb. 11, 2025. <https://www.presidency.ucsb.edu/documents/remarks-the-vice-president-the-artificial-intelligence-action-summit-paris-france>.

These AI policy statements serve as a much-needed corrective to both global and domestic dialogue around AI governance.¹⁴ Over the past four years, much of the policy dialogue surrounding AI systems has been fear-based, viewing AI less as an opportunity to embrace and more as a danger to avoid.¹⁵ Had America continued down that path, the nation risked following the disastrous approach Europe adopted for digital technology in recent decades.

While European Commission President Ursula von der Leyen recently claimed that “global AI leadership is still up for grabs,” the reality is that the European Union has already written itself out of the race by undermining its innovation culture through heavy-handed regulatory policies.¹⁶ Europe is suffering from a major competitiveness crisis, largely attributable to the many layers of restrictive policies imposed on digital entrepreneurs.¹⁷ This growing regulatory compliance burden includes a complicated new AI Act already cited as a major factor driving some AI innovators to flee the continent.¹⁸

The United States has wisely committed itself to a different path than Europe, which—as Vance noted during his Paris address—has decimated that continent’s digital technology sector. As Vance correctly observed, “[E]xcessive regulation of the AI sector could kill a transformative industry just as it’s taking off, and we’ll make every effort to encourage pro-growth AI policies.”¹⁹

Congressional lawmakers have likewise stressed how “the United States must take active steps to safeguard our current leadership position” to “help our country remain the world’s undisputed leader in the responsible design, development, and deployment of AI,” as the Bipartisan House Task Force on Artificial Intelligence noted in December 2024.²⁰

The need for American AI leadership became clearer than ever this January when Chinese AI developer DeepSeek released its powerful open-source “R1” model, which dominated news headlines and sparked lively debates about how it represented a “Sputnik moment” that “casts

¹⁴ Adam Thierer, “Vice President JD Vance Resets the Global AI Agenda with Paris AI Action Summit Address,” R Street Institute, Feb. 11, 2025. <https://www.rstreet.org/commentary/vice-president-jd-vance-resets-the-global-ai-agenda-with-paris-ai-action-summit-address>.

¹⁵ Adam Thierer, “Trump’s New AI Executive Order Begins Undoing Biden’s Bureaucratic Mess,” R Street Institute, Jan. 23, 2025. <https://www.rstreet.org/commentary/trumps-new-ai-executive-order-begins-undoing-bidens-bureaucratic-mess>.

¹⁶ Ursula von der Leyen, “Speech by President von der Leyen at the Artificial Intelligence Action Summit,” European Commission, Feb. 10, 2025. https://ec.europa.eu/commission/presscorner/detail/en/speech_25_471.

¹⁷ Mario Draghi, “The future of European competitiveness,” European Commission, Sept. 9, 2024. https://commission.europa.eu/topics/eu-competitiveness/draghi-report_en.

¹⁸ Siôn Geschwindt, “Dutch unicorn Bird flees ‘overregulated’ Europe for ‘global hubs’ — and a meditation retreat,” *The Next Web*, Feb. 24, 2025. <https://thenextweb.com/news/dutch-unicorn-bird-leaving-eu-due-to-ai-regulations>.

¹⁹ Vance. <https://www.presidency.ucsb.edu/documents/remarks-the-vice-president-the-artificial-intelligence-action-summit-paris-france>.

²⁰ U.S. House of Representatives, “Bipartisan House Task Force Report on Artificial Intelligence,” 118th Congress, December 2024. <https://www.speaker.gov/wp-content/uploads/2024/12/AI-Task-Force-Report-FINAL.pdf>.

[a] shadow on U.S. tech supremacy.”²¹ As Trump and other leaders noted, it served as “a wakeup call for our industries that we need to be laser-focused on competing to win.”²² Indeed, DeepSeek is already rushing to release an even more capable version of the model.²³

This “wakeup call” reminded us that AI supremacy has important implications—not just for innovation and competition, but also for national security.²⁴

It is essential that America’s AI Action Plan refocus our governance vision—and the mission of administrative agencies in particular—to meet this challenge.

C. Refocus administrative agencies around a light-touch pro-AI agenda and existing regulatory capacity

As the most important general-purpose technology of modern times, AI has important linkages with many other upstream and downstream technologies and industries, especially autonomous systems and robotics. China is catching up rapidly on the AI front, and unfortunately, America is behind in the robotics sector. As a recent Morgan Stanley report noted, “China continues to show the most impressive progress in humanoid robotics.”²⁵ This is why it is critical, as the Special Competitive Studies Project has noted, for the administration to “[u]ndertake a comprehensive review and reform of existing regulations that impact the development, deployment, and use of AI and other emerging technologies” in an attempt to streamline or eliminate obstacles to investment in all related sectors.²⁶

Toward that end, the administration’s new EO, “Ensuring Accountability for All Agencies,” correctly identified how independent regulatory agencies “currently exercise substantial executive authority without sufficient accountability,” and “have been permitted to promulgate significant regulations without review by the President.”²⁷ A subsequent EO, “Ensuring Lawful Governance and Implementing the President’s ‘Department of Government Efficiency’ Deregulatory Initiative,” signaled the administration’s intent to “focus the executive branch’s limited enforcement resources on regulations squarely authorized by constitutional Federal

²¹ Daria Solovieva, “DeepSeek’s breakthrough casts shadow on US tech supremacy,” *Salon*, Feb. 28, 2025. <https://www.salon.com/2025/02/28/deepseeks-breakthrough-casts-shadow-on-us-tech-supremacy>.

²² “Trump: DeepSeek’s AI should be a ‘wakeup call’ to US industry,” *Reuters*, Jan. 28, 2025. <https://www.reuters.com/world/us/trump-deepseeks-ai-should-be-wakeup-call-us-industry-2025-01-27>.

²³ Eduardo Baptista et al., “DeepSeek rushes to launch new AI model as China goes all in,” *Reuters*, Feb. 25, 2025. <https://www.reuters.com/technology/artificial-intelligence/deepseek-rushes-launch-new-ai-model-china-goes-all-2025-02-25>.

²⁴ Haiman Wong, “DeepSeek’s cybersecurity failures expose a bigger risk. Here’s what we really should be watching,” *R Street Institute*, Feb. 4, 2025. <https://www.rstreet.org/commentary/deepseeks-cybersecurity-failures-expose-a-bigger-risk-heres-what-we-really-should-be-watching>.

²⁵ Adam Jonas et al., “The Humanoid 100: Mapping the Humanoid Robot Value Chain,” *Morgan Stanley*, Feb. 6, 2025. https://advisor.morganstanley.com/john.howard/documents/field/j/ho/john-howard/The_Humanoid_100_-_Mapping_the_Humanoid_Robot_Value_Chain.pdf.

²⁶ “Memorandum for President Trump on AI Governance,” Special Competitive Studies Project, last accessed March 12, 2025. <https://www.scsp.ai/reports/memostothe-president/governance-2>.

²⁷ “Executive Order on Ensuring Accountability for All Agencies,” *The White House*, Feb. 18, 2025. <https://www.whitehouse.gov/presidential-actions/2025/02/ensuring-accountability-for-all-agencies>.

statutes, and to commence the deconstruction of the overbearing and burdensome administrative state.”²⁸

The administration must provide agencies with additional guidance on AI-specific issues, building on guidance established by the previous Trump administration’s Office of Management and Budget in its January 2020 memorandum to heads of federal departments and agencies, titled “Guidance for Regulation of Artificial Intelligence Applications” (hereafter referred to as the AI Guidance Memorandum).²⁹ This memorandum flowed from an EO Trump issued in February 2019, “Maintaining American Leadership in Artificial Intelligence.”³⁰

That EO sought to “reduce barriers to the use of AI technologies” and “help Federal regulatory agencies develop and maintain approaches for the safe and trustworthy creation and adoption of new AI technologies.”³¹ The AI Guidance Memorandum instructed agency heads to “consider ways to reduce barriers to the development and adoption of AI technologies” and “avoid regulatory or non-regulatory actions that needlessly hamper AI innovation and growth.”³² It also encouraged agencies to clarify “inconsistent, burdensome, and duplicative” AI-related laws promulgated by states and localities and be open to “non-regulatory approaches to AI” governance.³³ Additionally, it highlighted how three specific mechanisms—sector-specific policy frameworks, pilot programs and experiments, and voluntary consensus standards—should be strongly considered as ways to address AI-related concerns.

Crucially, the AI Guidance Memorandum said agencies “must avoid a precautionary approach that holds AI systems to such an impossibly high standard that society cannot enjoy their benefits. Where AI entails risk, agencies should consider the potential benefits and costs of employing AI, when compared to the systems AI has been designed to complement or replace.”³⁴ This is a wise standard for AI regulatory oversight because it ensures innovators are not treated as “guilty until proven innocent” of hypothetical harms associated with products that have not yet been developed or widely deployed.³⁵

²⁸ “Executive Order on Ensuring Lawful Governance and Implementing the President’s ‘Department of Government Efficiency’ Deregulatory Initiative,” The White House, Feb. 19, 2025.

<https://www.whitehouse.gov/presidential-actions/2025/02/ensuring-lawful-governance-and-implementing-the-presidents-department-of-government-efficiency-regulatory-initiative>.

²⁹ Russell T. Vought, “Memorandum for the Heads of Executive Departments and Agencies,” Office of Management and Budget, Nov. 17, 2020. <https://www.whitehouse.gov/wp-content/uploads/2020/11/M-21-06.pdf>.

³⁰ 84 Fed. Reg. 3967 (Feb. 11, 2019). <https://www.federalregister.gov/documents/2019/02/14/2019-02544/maintaining-american-leadership-in-artificial-intelligence>.

³¹ Ibid.

³² Vought. <https://www.whitehouse.gov/wp-content/uploads/2020/11/M-21-06.pdf>.

³³ Ibid.

³⁴ Ibid.

³⁵ Testimony of Adam Thierer, House Subcommittee on Cybersecurity, Information Technology, and Government Innovation, “Hearing on White House Overreach on AI,” 118th Congress, March 2024. <https://www.rstreet.org/outreach/adam-thierer-testimony-hearing-on-white-house-overreach-on-ai>.

The administration should ensure that its EOs and policy statements guide and encourage agencies to follow several specific principles that can advance an AI opportunity agenda:³⁶

- Adopt a flexible, risk-based approach to AI governance that relies on ongoing multi-stakeholder negotiations and evolving consensus-based standards more closely matched to rapidly changing algorithmic systems than overly rigid regulations.
- Avoid regulating algorithmic system inputs, focusing on their outputs and outcomes instead.³⁷
- Target policies using a sectoral approach that breaks down AI policy into smaller, more manageable elements, responding to new risks as they emerge.

Rather than issuing broad new regulatory edicts based on the hypothetical harms of future AI products, agencies should enforce existing laws or other remedies on an as-needed basis. It is essential to remember that, in many cases, “the best AI law may be one that already exists.”³⁸ There is no need to develop an entirely new regulatory superstructure for AI systems when so many other remedies exist. These include existing legal tools like product recall authority, unfair and deceptive practices law, and civil rights laws, as well as court-based common law remedies.³⁹ This approach represents a more flexible way to manage potential AI risks than a top-down, ex-ante regulatory regime that would limit AI’s potential.⁴⁰

D. Partner with Congress to advance a national AI policy framework

The administration should work closely with Congress to advance an AI opportunity agenda that reiterates the importance of the successful policy vision that worked so effectively for the internet and digital commerce.

1. Work with Congress to better define and target agency AI authority

While the administration works to craft AI guidance to executive agencies, Congress will need to exercise greater oversight authority over the many agencies that already regulate algorithmic systems in specific sectors, requiring them to “address how existing regulations are hindering progress.”⁴¹

The administration should also encourage Congress to take lead on questions related to AI safety and data privacy and, if needed, authorize additional technical resources to agencies that

³⁶ Adam Thierer, “Artificial Intelligence Task Force: 10 Principles to Guide AI Policy,” R Street Institute, Feb. 21, 2024. <https://www.rstreet.org/commentary/artificial-intelligence-task-force-10-principles-to-guide-ai-policy>.

³⁷ Jay Obernolte, “The Role of Congress in Regulating Artificial Intelligence,” *The Ripon Forum* 57:3 (June 2023), pp. 4-6. <https://riponsociety.org/article/the-role-of-congress-in-regulating-artificial-intelligence>; Adam Thierer, “The Most Important Principle for AI Regulation,” R Street Institute, June 21, 2023. <https://www.rstreet.org/commentary/the-most-important-principle-for-ai-regulation>.

³⁸ Will Rinehart, “The Best AI Law May Be One That Already Exists,” American Enterprise Institute, Feb. 3, 2025. <https://www.aei.org/articles/the-best-ai-law-may-be-one-that-already-exists>.

³⁹ Adam Thierer, “Flexible, Pro-Innovation Governance Strategies for Artificial Intelligence,” *R Street Policy Study* No. 283 (April 2023), p. 2. <https://www.rstreet.org/research/flexible-pro-innovation-governance-strategies-for-artificial-intelligence>.

⁴⁰ Thierer. <https://www.rstreet.org/outreach/adam-thierer-testimony-hearing-on-artificial-intelligence-and-its-potential-to-fuel-economic-growth-and-improve-governance>.

⁴¹ Jason Furman, “How to Regulate AI Without Stifling Innovation,” *The Wall Street Journal*, Nov. 21, 2024. <https://www.wsj.com/opinion/how-to-regulate-ai-without-stifling-innovation-regulation-eu-licensing-a2f0d8af>.

already address AI-related issues. This includes issues related to the powers of the National Institute of Standards and Technology (NIST) and the U.S. AI Safety Institute, which the Biden administration created without statutory authorization and then transferred into NIST.⁴² The administration should work with Congress to ensure that NIST’s voluntary, flexible governance approach remains intact without taking on a more aggressive regulatory stance for AI.⁴³ Congress must still take action on data privacy issues; however, privacy should be addressed separately from AI provisions within any privacy bill. Technologies like AI also have potential to enhance privacy, reinforcing the need to maintain a pro-innovation environment for their development.⁴⁴

2. Help Congress craft a framework for preemption of state AI regulatory patchwork

Most importantly, the administration should work with lawmakers to establish a national AI policy framework. A patchwork of different state and local regulatory regimes will threaten the administration’s AI opportunity agenda.⁴⁵ Rep. Jay Obernolte (R-Calif.), who chaired the House Task Force on Artificial Intelligence last session, has argued, “AI is very clearly an interstate commerce issue, and I think that, predominantly, regulation of AI needs to be done at the federal level, if you allow 50 different state regulations to exist ... [that] is an enormous barrier to entry for innovation.”⁴⁶

Some state leaders agree. Last May, Gov. Jared Polis (D-Colo.) signed a major AI regulatory measure into law while noting that state AI regulations like his could create “a complex compliance regime for all developers and deployers of AI” and a patchwork of mandates that will “tamper innovation and deter competition.”⁴⁷ Polis called for Congress to create “a needed cohesive federal approach ... to limit and preempt varied compliance burdens on innovators and ensure a level playing field across state lines along with ensuring access to life-saving and money-saving AI technologies for consumers.”⁴⁸

A patchwork of state and local mandates could derail the AI opportunity agenda by raising compliance costs, limiting new entry and investment, and discouraging new product launches. A leading venture capital firm argues that while some large tech players might have the

⁴² “At the Direction of President Biden, Department of Commerce to Establish U.S. Artificial Intelligence Safety Institute to Lead Efforts on AI Safety,” U.S. Department of Commerce, Nov. 1, 2023. <https://www.commerce.gov/news/press-releases/2023/11/direction-president-biden-department-commerce-establish-us-artificial>.

⁴³ Haiman Wong and Brandon Pugh, “Key Cybersecurity and AI Policy Priorities for Trump’s Second Administration and the 119th Congress,” R Street Institute, January 2025. <https://www.rstreet.org/research/key-cybersecurity-and-ai-policy-priorities-for-trumps-second-administration-and-the-119th-congress>.

⁴⁴ Brandon Pugh and Steven Ward, “Key Data Privacy and Security Priorities for 2025,” R Street Institute, January 2025. <https://www.rstreet.org/research/key-data-privacy-and-security-priorities-for-2025>.

⁴⁵ Adam Thierer, “State and local meddling threatens to undermine the AI revolution,” *The Hill*, Jan. 21, 2024. <https://thehill.com/opinion/4420144-state-and-local-meddling-threatens-to-undermine-the-ai-revolution>.

⁴⁶ Mariam Baksh, “Rep. Obernolte promotes AI select committee, notes ongoing open-source debate,” *Inside AI Policy*, Feb. 12, 2025. <https://insideaipolicy.com/ai-daily-news/rep-obernolte-promotes-ai-select-committee-notes-ongoing-open-source-debate>.

⁴⁷ Gov. Jared Polis, Signing Statement for Senate Bill 24-205, May 17, 2024. <https://drive.google.com/file/d/1i2cA3IG93VViNbZxu9LPgbTrZGqhyRgM/view>.

⁴⁸ Ibid.

resources to deal with these complexities, “[s]tartups don’t have these luxuries,” and that this would “cripple Little Tech and hinder American efforts to compete with AI development in other countries.”⁴⁹ Federal preemption will be needed to “help ensure the U.S. remains a digital single market—unlike the fractured EU,” as a former chairman of the White House Council of Economic Advisers has stressed.⁵⁰

3. Consider a “learning period moratorium” that gives AI room to grow

Short of plenary preemption, Congress could use a “learning period moratorium” to limit the creation of new AI-related regulations at the federal, state, and local levels for a set period.⁵¹ Congress has used moratoria in the past to encourage the growth of other markets and technologies. The Internet Tax Freedom Act of 1998 (made permanent in 2016) prevented the development of “multiple and discriminatory taxes” on electronic commerce and internet access by state and local governments. Similarly, the Commercial Space Launch Amendments Act of 2004 ensured federal regulators did not overregulate the nascent market for commercial human spaceflight when it was still on the drawing board.

Calibrating the scope of federal preemption or an AI learning period moratorium will be challenging, but the administration must work with Congress to help lawmakers fashion a workable national framework before excessive layers of burdensome red tape undermine AI opportunity for the nation as a whole.

III. Targeted Strategies to Advance an AI Opportunity Agenda

This section offers specific policy recommendations to help advance an AI opportunity agenda.

A. Ensure open-source AI plays a continued role

The administration must ensure that open-source providers and applications play a major role in America’s AI ecosystem.⁵² Overly burdensome AI regulations will hit open-source systems harder than closed ones.⁵³ The collaborative and evolutionary nature of open-source applications helps inject new ideas and competition into the digital marketplace.

⁴⁹ Matt Perault, “Setting the Agenda for Global AI Leadership: Assessing the Roles of Congress and the States,” Andreesen Horowitz, Feb. 4, 2025. <https://a16z.com/setting-the-agenda-for-global-ai-leadership-assessing-the-roles-of-congress-and-the-states>.

⁵⁰ Furman. <https://www.wsj.com/opinion/how-to-regulate-ai-without-stifling-innovation-regulation-eu-licensing-a2f0d8af>.

⁵¹ Adam Thierer, “Getting AI Policy Right Through a Learning Period Moratorium,” R Street Institute, May 29, 2024. <https://www.rstreet.org/commentary/getting-ai-policy-right-through-a-learning-period-moratorium>.

⁵² Adam Thierer, “Policymakers Should Let Open Source Play a Role in the AI Revolution,” R Street Institute, March 28, 2024. <https://www.rstreet.org/commentary/policymakers-should-let-open-source-play-a-role-in-the-ai-revolution>.

⁵³ Adam Thierer, “R Street Submits Regulatory Comments for the National Telecommunications and Information Administration’s (NTIA) ‘Openness in AI Request for Comment,’” Docket No. 240216-0052, March 20, 2024. <https://www.rstreet.org/outreach/r-street-submits-regulatory-comments-for-the-national-telecommunications-and-information-administrations-ntia-openness-in-ai-request-for-comment>.

U.S.-based open-source innovation is crucial, as China has made important advances using open-source systems, such as DeepSeek-R1.⁵⁴ Open source has helped China close the gap with America, and if the nation restricts our own open-source capabilities, Chinese systems will fill that gap.⁵⁵ This is why experts stress that America “must win the global open source AI race” to ensure American systems and values remain at the forefront of this global technology revolution.⁵⁶ While some critics want to limit open-source capabilities, policy flexibility and regulatory forbearance are essential.⁵⁷ Vance has strongly supported open-source AI, and the Biden administration was also supportive, meaning that strong bipartisan support exists.⁵⁸

B. Ensure America wins the talent war

The geopolitical AI “race” is as much about “talent dominance” as technological dominance.⁵⁹ In recent years, the United States has benefited from the equivalent of an AI talent “brain drain” from China, with many talented students and entrepreneurs coming to America to study and create new firms.⁶⁰ A talent influx from other nations over the past quarter-century also helped the United States dominate the digital revolution.

When the world’s most brilliant and entrepreneurial minds come to our shores to pursue the American dream, it helps our nation achieve greater technological success globally. However, this situation may be reversing with China now producing and retaining more skilled AI engineers and workers.⁶¹ The administration must carefully calibrate immigration policies to ensure continued U.S. talent dominance in AI as this “talent war” intensifies.⁶²

C. Avoid overreach on export controls

In its last major technology policy action, the Biden administration announced a major expansion of export controls on AI systems and related technologies.⁶³ Analysts argued that the

⁵⁴ Aaron Tan, “The rise and rise of open source in China,” *Computer Weekly*, Aug. 22, 2024.

<https://www.computerweekly.com/news/366608127/The-rise-and-rise-of-open-source-in-China>.

⁵⁵ Meaghan Tobin and Cade Metz, “China Is Closing the A.I. Gap With the United States,” *The New York Times*, July 25, 2024. <https://www.nytimes.com/2024/07/25/technology/china-open-source-ai.html>.

⁵⁶ Keegan McBride and Dean W. Ball, “The United States Must Win The Global Open Source AI Race,” *Just Security*, Nov 7, 2024. <https://www.justsecurity.org/104676/american-ai-leadership-requires-support-open-source>.

⁵⁷ Ben Brooks, “If China shares AI, the US can’t afford to lock it out,” *The Hill*, Feb. 6, 2025.

<https://thehill.com/opinion/technology/5123855-open-source-ai-deepseek>.

⁵⁸ Adam Thierer, “Regulators are misguided in efforts to restrict open-source AI,” *Cointelegraph*, July 31, 2024.

<https://cointelegraph.com/news/regulators-misguided-efforts-limit-open-source-ai>.

⁵⁹ John Bailey, “America can’t afford to lose the high-skilled talent race in today’s competitive markets,” *The Hill*, Jan. 11, 2025. <https://thehill.com/opinion/technology/5078928-talent-dominance-agenda-immigration>.

⁶⁰ Karen Hao, “China’s path to AI domination has a problem: brain drain,” *MIT Technology Review*, Aug. 7, 2019. <https://www.technologyreview.com/2019/08/07/133830/china-ai-domination-losing-talent-to-us>.

⁶¹ Paul Mozur and Cade Metz, “In One Key A.I. Metric, China Pulls Ahead of the U.S.: Talent,” *The New York Times*, March 22, 2024. <https://www.nytimes.com/2024/03/22/technology/china-ai-talent.html>.

⁶² Isobel Asher Hamilton, “The Next Big US-China Trade War is Over AI Talent,” *The Daily Upside*, May 17, 2024. <https://www.thedailyupside.com/technology/artificial-intelligence/the-next-big-us-china-trade-war-is-over-ai-talent>.

⁶³ 90 Fed. Reg. 4544 (Jan. 15, 2025). <https://www.federalregister.gov/documents/2025/01/15/2025-00636/framework-for-artificial-intelligence-diffusion>.

“sweeping, interventionist framework,” represents “what may be the most ambitious exercise of technological statecraft in modern history.”⁶⁴ The Trump administration must revise and limit these rules to safeguard U.S. leadership in AI and ensure these new regulations do not undermine advanced computation.⁶⁵ While some hardware-side controls will still play a role, the United States cannot hold back all Chinese technical advances by limiting American innovation.⁶⁶

The lesson of recent Chinese advances like DeepSeek-R1 is that “[p]ublic policy can diminish Chinese computing power; it cannot weaken the minds of China’s finest researchers.”⁶⁷ Even with various export controls and other domestic computing constraints in place, Chinese AI developers have made major technological advances—especially with open-source capabilities.⁶⁸

Thus, the United States “must focus on competition and outcompeting its geopolitical rivals in the development, implementation, and diffusion of AI-based systems domestically and internationally instead of an expert-control-first approach.”⁶⁹ The key to maintaining global AI leadership is to remain on the cutting edge of the technological frontier.

D. Ensure diverse, competitive energy markets for AI advancement

U.S. Secretary of the Interior Doug Burgum recently told state lawmakers that America’s AI superiority is fundamentally linked to our nation’s ability to generate adequate energy to power advanced computational systems. “[I]t’s key that we win the AI arms race with China,” he noted.⁷⁰ Many in the tech industry consider electric supply restrictions the largest barrier to domestic AI advancement.⁷¹ Aside from supply chain issues, electricity restrictions are largely a self-imposed problem that increases costs and reliability risk.⁷² RSI research found the primary

⁶⁴ Barath Harithas, “The AI Diffusion Framework: Securing U.S. AI Leadership While Preempting Strategic Drift,” Center for Strategic and International Studies, Feb. 18, 2025. <https://www.csis.org/analysis/ai-diffusion-framework-securing-us-ai-leadership-while-preempting-strategic-drift>.

⁶⁵ John Villasenor, “The new AI diffusion export control rule will undermine US AI leadership,” Brookings Institution, Jan. 23, 2025. <https://www.brookings.edu/articles/the-new-ai-diffusion-export-control-rule-will-undermine-us-ai-leadership>.

⁶⁶ John Villasenor, “DeepSeek shows the limits of US export controls on AI chips,” Brookings Institution, Jan. 29, 2025. <https://www.brookings.edu/articles/deepseek-shows-the-limits-of-us-export-controls-on-ai-chips>.

⁶⁷ Dean W. Ball, “What DeepSeek r1 Means—and What It Doesn’t,” *Lawfare*, Jan. 28, 2025. <https://www.lawfaremedia.org/article/what-deepseek-r1-means-and-what-it-doesn-t>.

⁶⁸ Kimberley Kao and Raffaele Huang, “Chips or Not, Chinese AI Pushes Ahead,” *The Wall Street Journal*, Aug. 23, 2024. <https://www.wsj.com/tech/ai/chips-or-not-chinese-ai-pushes-ahead-31034e3d>.

⁶⁹ Matthew Mittelsteadt and Keegan McBride, “Competition, Not Control, is Key to Winning the Global AI Race,” *Just Security*, Sept. 17, 2024. <https://www.justsecurity.org/100130/competition-not-control-is-key-to-winning-the-global-ai-race>.

⁷⁰ Dorothy Mills-Gregg, “Interior Secretary Burgum: Energy growth is vital in ‘AI arms race’ with China,” *Inside AI Policy*, Feb. 24, 2025. <https://insideaipolicy.com/ai-daily-news/interior-secretary-burgum-energy-growth-vital-ai-arms-race-china>.

⁷¹ Jason Plautz, “Energy is AI’s barrier to entry. David Sacks knows it,” *E&E News*, Feb. 11, 2025. <https://www.eenews.net/articles/energy-is-ais-barrier-to-entry-david-sacks-knows-it>.

⁷² Testimony of Devin Hartman, House Committee on Oversight and Accountability, “Hearing on The Power Struggle: Examining the Reliability and Security of America’s Electrical Grid,” 118th Congress, March 12, 2024.

problems are regulatory barriers to development and government-sanctioned monopoly utilities.⁷³ Thus, the answer warrants stronger markets, not panicked interventions. Such resolutions are highly compatible with the spirit of Trump’s EO to unleash American energy.⁷⁴

Success will require unleashing all forms of American energy. This includes power plants with sufficient private-sector appetite, which run primarily on natural gas, nuclear, and renewable energy. Unleashing the development of transmission lines to connect power plants to customers is also important. Three ways in which the administration could address these barriers include:

1. *Removing barriers to energy supplier choice for datacenter developers*

Large energy consumers want the right to choose a competitive energy supplier that has developed faster, lower-cost, and more innovative solutions for datacenters than monopoly utilities.⁷⁵ It is important to removing discriminatory regulatory practices, such as restrictions on co-locating power plants and datacenters, while ensuring grid infrastructure costs are generally allocated to those who cause them.⁷⁶

2. *Finishing generator interconnection reform*⁷⁷

It typically takes an unacceptable five years for new power plants to secure an agreement with grid operators to connect to the grid.⁷⁸ In 2023, the Federal Energy Regulatory Commission took bipartisan steps in the right direction; however, this administration should prioritize key reforms left unresolved by the agency.⁷⁹

3. *Streamlining permitting and siting of all electric infrastructure*⁸⁰

<https://www.rstreet.org/outreach/letter-to-the-house-committee-on-oversight-accountability-about-grid-reliability>.

⁷³ Devin Hartman and Olivia Manzagol, “AI’s Energy Footprint Warrants Markets, Not Panic,” R Street Institute, Sept. 26, 2024. <https://www.rstreet.org/commentary/ais-energy-footprint-warrants-markets-not-panic>.

⁷⁴ “Executive Order on Unleashing American Energy,” The White House, Jan. 20, 2025.

<https://www.whitehouse.gov/presidential-actions/2025/01/unleashing-american-energy>.

⁷⁵ Hartman and Manzagol. <https://www.rstreet.org/commentary/ais-energy-footprint-warrants-markets-not-panic>.

⁷⁶ Testimony of Kent Chandler, Federal Energy Regulatory Commission, “Commissioner-led Technical Conference Regarding Large Loads Co-located at Generating Facilities,” 118th Congress, Nov. 1, 2024.

<https://www.rstreet.org/outreach/r-street-testimony-on-co-location-of-large-loads-with-generation>.

⁷⁷ Devin Hartman and Beth Garza, “Finishing Generator Interconnection Reform,” R Street Institute, Dec. 5, 2023.

<https://www.rstreet.org/commentary/finishing-generator-interconnection-reform>.

⁷⁸ Joseph Rand et al., “Queued Up: Characteristics of Power Plants Seeking Transmission Interconnection,” Lawrence Berkeley National Laboratory, 2025. <https://emp.lbl.gov/queues>.

⁷⁹ Devin Hartman and Beth Garza, “R Street Input to FERC’s Generator Interconnection Workshop,” Federal Energy Regulatory Commission: Generator Interconnection Workshop, May 6, 2024.

<https://www.rstreet.org/outreach/r-street-input-to-fercs-generator-interconnection-workshop>.

⁸⁰ Philip Rossetti, “Low-Energy Fridays: Why is Judicial Review Important for Permitting Reform?” R Street Institute, Sept. 13, 2024. <https://www.rstreet.org/commentary/low-energy-fridays-why-is-judicial-review-important-for-permitting-reform>.

It is essential to reduce litigation risk, provide better project information to state authorities, and refine federal backstop authority for interstate pipelines and transmission approvals.⁸¹

These reforms will ensure today's technologies meet datacenter power demand affordably and quickly. In the long term, it is also important to ensure the United States takes the lead in next-generation technologies like advanced nuclear, carbon capture, and energy storage. Improving the transparency, accountability, and performance of Department of Energy research and early deployment programs would drive innovation and put taxpayer dollars to better use.⁸²

E. Strike a sensible balance on AI and copyright

AI has led to significant advancements in creative industries. With the ability to analyze and process vast amounts of data, AI has the potential to revolutionize the way content is created, consumed, and distributed. Yet many content creators view AI as a threat rather than a tool to further their work. Copyright concerns have been raised with respect to both the data used to train AI models and the outputs generated through these models. While the evolution of AI may raise novel questions, we believe that existing copyright law is suitably flexible to address AI-related concerns. Copyright law allows issues to be examined on a case-by-case basis, which is far superior to attempting to impose a new regulatory framework that could hamper the broader evolution of AI technologies. It is important to remember that although copyright laws are designed to provide incentives for creators to produce original works, the principles of fair use and exceptions are also important.

Fair use is crucial in promoting innovation and creativity in various fields including education, research, journalism, and criticism.⁸³ These principles must be part of any attempt to apply copyright to issues surrounding AI. For example, AI training on copyrighted works should qualify as non-infringing or fair use because AI is learning ideas rather than reproducing specific expressions. Attempting to establish a licensing framework for AI training data would create significant economic barriers, stifle innovation, and potentially lead to market monopolization by large tech companies with the resources required to operate under a licensing regime.

Additionally, when examining the output of AI models, authorship requires human action because copyright protects a creator's expression.⁸⁴ AI-generated outputs that lack significant

⁸¹ Devin Hartman et al., "State and Local Permitting for the Energy Sector: Challenges and Opportunities," *R Street Policy Study* No. 313 (November 2024). <https://www.rstreet.org/research/state-and-local-permitting-for-the-energy-sector-challenges-and-opportunities>.

⁸² Testimony of Devin Hartman, Subcommittee on Energy, House Committee on Energy and Commerce, "Hearing on Federal Energy Related Tax Policy and its Effects on Markets, Prices and Consumers," 115th Congress, March 29, 2017. <https://docs.house.gov/meetings/IF/IF03/20170329/105798/HHRG-115-IF03-Wstate-HartmanD-20170329.pdf>.

⁸³ Wayne Brough and Ahmad Nazeri, "Regulatory Comments Before the U.S. Copyright Office Library of Congress In the Matter of Artificial Intelligence and Copyright," Docket No. 2023-6, Oct. 27, 2023. <https://www.rstreet.org/outreach/regulatory-comments-before-the-u-s-copyright-office-library-of-congress-in-the-matter-of-artificial-intelligence-and-copyright>.

⁸⁴ Ahmad Nazeri, "The Soul of Creativity in Copyright: From Inspiration to Information," R Street Institute, March 5, 2024. <https://www.rstreet.org/commentary/the-soul-of-creativity-in-copyright-from-inspiration-to-information>.

human input may yield autonomous AI creations that belong in the public domain. The U.S. Copyright Office recently released a report emphasizing the need for human creativity to warrant copyright protection. The report concludes that copyright is flexible and can adapt to new technologies, noting that “existing legal doctrines are adequate and appropriate to resolve questions of copyrightability.”⁸⁵ Expanding copyright law to create new property rights could substantially impede AI development and deployment, contradicting copyright’s constitutional purpose of promoting progress of science and useful arts.

F. Reiterate the importance of First Amendment rights in the algorithmic age

Algorithmic and computational systems are information systems, meaning free speech issues come into play when governments act to restrict AI systems. Governments around the globe have spent decades looking to censor online speech, and some now want to extend those control efforts to AI systems.⁸⁶ Authoritarian nations like China have already moved to extend digital repression and simultaneously export their values and influence more broadly using AI tools.⁸⁷

Even domestically, regulators or other policymakers could look to “weaponize” algorithmic systems against certain groups or individuals.⁸⁸ As the president of the Foundation for Individual Rights and Expression noted during congressional testimony last year, “[T]he most chilling threat that the government poses in the context of emerging AI is regulatory overreach that limits its potential as a tool for contributing to human knowledge.”⁸⁹ “The end result of pushing too hard on AI regulation,” he continued, would be a concentration of dangerous control. “Far from reining in the government’s misuse of AI to censor, we will have created the framework not only to censor but also to dominate and distort the production of knowledge itself.”⁹⁰

This is why a strong defense of First Amendment values is needed, especially with American firms and citizens coming under greater attack from other nations.⁹¹ The administration’s recent EO “Restoring Freedom of Speech and Ending Federal Censorship” argued that

⁸⁵ Register of Copyrights, “Copyright and Artificial Intelligence Part 2: Copyrightability,” U.S. Copyright Office, January 2025. <https://www.copyright.gov/ai/Copyright-and-Artificial-Intelligence-Part-2-Copyrightability-Report.pdf>.

⁸⁶ Patricia Moloney Figliola, “Promoting Global Internet Freedom: Government and Industry Initiatives,” Congressional Research Service, June 1, 2016. <https://crsreports.congress.gov/product/pdf/R/R41837/17>.

⁸⁷ Kayla Blomquist and Keegan McBride, “It’s Not Just Technology: What it Means to be a Global Leader in AI,” *Just Security*, Jan. 4, 2024. <https://www.justsecurity.org/90757/its-not-just-technology-what-it-means-to-be-a-global-leader-in-ai>.

⁸⁸ Adam Thierer, “AI and Technologies of Freedom in the Age of ‘Weaponized’ Government,” R Street Institute, Feb. 8, 2024. <https://www.rstreet.org/commentary/ai-and-technologies-of-freedom-in-the-age-of-weaponized-government>.

⁸⁹ Testimony of Greg Lukianoff, Select Subcommittee on the Weaponization of the Federal Government, “Hearing on the Weaponization of the Federal Government,” 118th Congress, February 2024. <https://judiciary.house.gov/committee-activity/hearings/hearing-weaponization-federal-government-5>.

⁹⁰ Ibid.

⁹¹ Jonathan Cannon and Adam Thierer, “The New Information Control,” R Street Institute, Sept. 3, 2024. <https://www.rstreet.org/commentary/the-new-information-control>.

“government censorship of speech is intolerable in a free society” and that some recent efforts to regulate misinformation or disinformation have crossed that line.⁹²

While Section 230 of the Telecommunications Act of 1996 has drawn some criticism, it has played an essential role in protecting digital speech and commerce by allowing the internet to flourish without fear of frivolous lawsuits.⁹³ It will continue to play an important role in the AI era, and lawmakers should be careful not to upset the liability protections it offers. Without these protections, a flood of litigation against AI entrepreneurs or citizens using new algorithmic tools could undermine algorithmic innovation. Optimally, Section 230 protections would extend to new AI systems; at minimum, lawmakers must preserve the law for existing speech and commerce.⁹⁴

IV. Conclusion

To ensure the United States maintains its leadership in AI development and technological innovation, the AI Action Plan must promote innovation, growth, and opportunity. By building on America’s winning policy formula for the internet and digital commerce and speech, the United States can once again lead the next great technological revolution.

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⁹² “Executive Order on Restoring Freedom of Speech and Ending Federal Censorship,” The White House, Jan. 20, 2025. <https://www.whitehouse.gov/presidential-actions/2025/01/restoring-freedom-of-speech-and-ending-federal-censorship>.

⁹³ Shoshana Weissmann and Canyon Brimhall, “What Section 230 really does and why it’s vital for your free speech online,” *The Detroit News*, Feb. 6, 2021. <https://www.rstreet.org/commentary/what-section-230-really-does-and-why-its-vital-for-your-free-speech-online>.

⁹⁴ Adam Thierer and Shoshana Weissmann, “Without Section 230 Protections, Generative AI Innovation Will Be Decimated,” R Street Institute, Dec. 6, 2023. <https://www.rstreet.org/commentary/without-section-230-protections-generative-ai-innovation-will-be-decimated>.